TEXORA · LECTURE SHEET

HRM and Compliance in the Textile and Apparel Industry

How factories attract, train, appraise and retain the people who run them — and how social, technical and environmental compliance, buyer codes and audits decide whether those factories may sell to the world at all.

TE-3109 · SUPPLY CHAIN MANAGEMENT IN TEXTILES · TOPIC 3 · LEVEL 3 TERM 1

1. Human resource management — meaning and importance

Human resource management (HRM) is the strategic and coherent approach to managing an organisation's people so that they contribute their best to its goals while their own legitimate needs — fair pay, safety, dignity, development — are respected. Older practice called this *personnel management* and treated it mainly as record-keeping, hiring and discipline. Modern HRM is wider: people are planned for like any critical resource, developed as a source of competitive advantage, and involved as partners rather than treated only as a cost.

Nowhere is this truer than in textiles and apparel. A sewing line's output is quite literally the sum of forty pairs of hands; yarn quality still depends on the alertness of machine tenders working night shifts; a merchandising team of six people may carry an order book worth more than the factory's machinery. The industry is labour-intensive, employs a very large share of women workers in Bangladesh's ready-made garment (RMG) sector, faces chronic shortages of skilled operators, mechanics and mid-level technologists, and sells to buyers who audit how workers are treated. HRM in this industry is therefore not an office luxury — it is a production function and a market-access function at the same time.

2. The functions of HRM

2.1 Human resource planning

HR planning (manpower planning) forecasts the number and kind of people the organisation will need, compares that with the people it has, and plans the gap: recruit, train, redeploy or, where necessary, reduce. A garment factory planning two new lines for the coming season works out operators by operation, helpers, line chiefs, mechanics and quality staff months ahead — because skilled sewing operators cannot be created the week the fabric arrives. Planning also covers **job analysis**: studying each job to write a **job description** (duties, responsibilities, conditions) and a **job specification** (the

qualifications, skills and attributes the job-holder needs). These two documents drive every later HR activity.

2.2 Recruitment and selection

Recruitment is the process of finding and attracting candidates; **selection** is choosing among them. Sources are internal (promotion, transfer — cheap, motivating, but a narrow pool) and external (advertisements, training institutes and polytechnics, employee referrals, walk-in hiring at the factory gate for operator grades — always verified against age and documentation rules). A typical selection sequence runs: application and screening → written or aptitude test (for staff grades) → practical trade test (an operator sews a test piece; a mechanic diagnoses a fault) → interview → medical examination → reference and document verification → appointment letter and induction. The trade test matters most on the factory floor: sewing skill is visible in fifteen minutes and cannot be interviewed into existence. **Induction (orientation)** then introduces the new worker to the factory, its safety rules, welfare facilities, supervisors and the job itself; a well-run first week measurably reduces early leaving, which in garment factories is otherwise very high.

2.3 Training and development

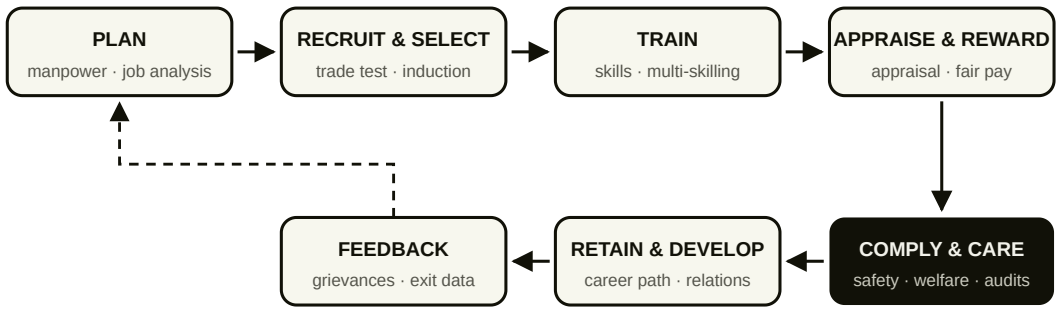
Training improves the skills needed for the present job; **development** prepares a person for larger future jobs. Methods divide into **on-the-job** (learning by doing under a trainer — the training line for new sewing operators, apprenticeship for mechanics, job rotation for supervisors) and **off-the-job** (classroom courses, workshops, institute programmes — for example sending dyeing staff to a colour-management course). Training needs are found by comparing the skills a job requires with the skills its holder has, and training is evaluated by its effect on the floor: a trained line should show higher efficiency, fewer defects and less rework — not merely attendance certificates. Multi-skilling deserves special mention: operators trained on several operations can be moved to balance a line when styles change or colleagues are absent, which is the single most practical defence against line imbalance.

2.4 Performance appraisal

Performance appraisal is the systematic evaluation of an employee's work against agreed standards, used for pay decisions, promotion, training-needs identification and feedback. Common methods include rating scales, written assessments by the superior, target-based appraisal against agreed objectives, and — for managerial grades — multi-source (360-degree) feedback. A fair appraisal system in a factory has four properties: criteria are job-related and known in advance (output, quality, attendance, discipline, skill growth); records are kept through the year, not reconstructed from memory in appraisal week; the appraisee hears the result and can respond; and appraisal outcomes visibly connect to training, increments and promotion. Done badly, appraisal becomes a ritual of favouritism and quietly teaches workers that performance does not matter.

2.5 Compensation, welfare and industrial relations

Compensation covers wages and salaries, allowances, overtime payment, bonuses, increments and benefits such as subsidised meals, transport and medical facilities. In the RMG sector a nationally declared minimum wage, revised periodically through a wage board process, sets the floor for worker grades; factories then compete above it with attendance bonuses and skill allowances to retain experienced hands. Pay systems divide into **time rate** (paid for attendance — simple, secure, but weakly linked to output) and **piece rate / incentive systems** (paid by output — motivating, but needing strict quality checks so speed does not destroy workmanship). **Welfare** covers the facilities that make factory life decent: safe drinking water, clean toilets, rest areas, a medical room, childcare provision where required, and canteen arrangements. **Industrial relations** is the management of the relationship between employer, workers and their representatives — grievance handling, disciplinary procedure conducted fairly, worker participation committees, and collective bargaining where unions are present. Most factory unrest begins not with wages but with an unhandled grievance or a supervisor's public insult; HRM's grievance procedure — listen quickly, investigate, answer within a set time — is a production-stability tool as much as a welfare one.



The HRM–compliance cycle: each round of feedback corrects the next manpower plan. Compliance is not a separate office — it runs through every stage.

Figure 1 — The HRM and compliance cycle in a textile factory. Planning, hiring, training, appraisal and reward keep people productive; compliance and welfare keep the workplace lawful and safe; retention and feedback close the loop.

3. Compliance — what it is and why buyers demand it

Compliance means conforming to the rules that govern how a factory operates: national law, the buyer's code of conduct, and recognised international standards — and being able to *prove* that conformity to an independent auditor. Compliance became a condition of trade for a simple reason: global brands sell to consumers who hold the brand responsible for conditions anywhere in its supply chain. A buyer therefore will not place orders in a factory — however cheap or skilled — whose buildings are unsafe, whose workers are underpaid or under-age, or whose effluent poisons a river. In

Bangladesh's RMG sector, compliance capability is now as much a part of a factory's offer as price and lead time.

3.1 The three families of compliance

FAMILY	WHAT IT COVERS	FACTORY-FLOOR EXAMPLES
Social compliance	People: no child labour or forced labour, working hours and rest within limits, wages and overtime paid correctly and on time, freedom from discrimination and harassment, freedom of association, grievance systems, welfare facilities	Age-verified recruitment files; electronic time records matching pay sheets; functioning worker participation committee; clean toilets and drinking water; maternity benefits correctly given
Technical (safety) compliance	The building and its systems: structural safety, fire safety, electrical safety, machine and boiler safety, chemical storage and handling, personal protective equipment (PPE), emergency exits, drills and first aid	Unblocked, unlocked exit routes; tested fire alarm and extinguishers; machine guards in place; licensed boiler operation; eyewash stations in the chemical store; regular evacuation drills with timing records
Environmental compliance	The factory's footprint: effluent treatment, water and energy use, chemical management, waste disposal, air emissions	A properly run effluent treatment plant (ETP) for dyeing units with tested discharge; segregated waste with authorised disposal; chemical inventory with safety data sheets; no discharge of untreated dye bath to drains

3.2 Buyer codes of conduct and standards

Each major buyer publishes a **code of conduct (CoC)** — the minimum social, safety and environmental conditions a supplier factory must meet, typically built on International Labour Organization (ILO) core conventions and national law, whichever is stricter. Factories are also assessed under shared industry schemes and certifications that buyers recognise, such as social-audit protocols, building-safety programmes, and environmental or product certifications (for example organic or recycled-content standards for materials). The practical rule for a factory is unforgiving: the strictest applicable requirement is the real requirement, and an order can be suspended on a single critical finding — a locked exit door or a falsified age record can end a business relationship that price could never win back.

3.3 The Accord and Alliance — textbook context

After the Rana Plaza building collapse of 2013 — the deadliest disaster in garment-industry history — two buyer-led initiatives transformed safety oversight in Bangladesh. The **Accord on Fire and Building Safety in Bangladesh** (a legally binding agreement between brands and trade unions) and the **Alliance for Bangladesh Worker Safety** (a brand-led initiative, mainly North American) inspected factories for structural, fire and electrical safety, published findings, and required factories to complete **Corrective Action Plans (CAPs)** — time-bound lists of repairs and improvements, from removing loads from weak columns to installing fire doors and detection systems — as a condition of continued business. The Alliance completed its term and wound up; the Accord's work in Bangladesh has continued through the **RMG Sustainability Council (RSC)**, a national body carrying forward its inspection and remediation model, and the Accord framework has since been extended internationally. The lasting lesson is structural: safety compliance in this industry is independently inspected, publicly tracked and commercially enforced — it is no longer a matter of a factory's own declaration.

3.4 Audits — types and conduct

An **audit** is a systematic, documented check of compliance. Audits differ by who performs them and how they are announced:

TYPE	WHO AUDITS	ANNOUNCED?	PURPOSE
Internal audit	The factory's own compliance team	Scheduled	Find and fix faults before anyone else does; prepare CAP updates
Buyer audit	The buyer's compliance staff or its nominated firm	Announced, semi-announced or unannounced	Decide whether orders may be placed or continued
Third-party / certification audit	An independent audit firm against a standard or scheme	Usually announced within a window	Certification, shared reporting to several buyers
Government inspection	Factory inspectorate and licensing authorities	Often unannounced	Enforce national law and licences

Every audit follows the same anatomy: document review (payroll, time records, licences, training and drill records), a physical walk-through of the whole site, and confidential worker interviews — the three sources are cross-checked against each other, which is why double record-keeping (one set for auditors, one real) is both detectable and treated as a grave offence. Findings are graded from critical to minor, a CAP with deadlines is agreed, and a follow-up verifies closure. The healthy factory treats its internal audit as the strictest of all, so that external audits hold no surprises.

COMPLIANCE MINDSET

Compliance is not "passing the audit". It is running the factory every day exactly as the records claim it is run. An audit then simply observes normal practice — the only preparation needed is the habit itself.

Glossary

HR planning — forecasting people needs and planning how to meet them. **Job description / specification** — what a job involves / what its holder must offer. **Induction** — structured introduction of a new employee. **Multi-skilling** — training workers in several operations. **Appraisal** — systematic evaluation of performance against standards. **Compliance** — demonstrable conformity to law, buyer codes and standards. **Code of conduct (CoC)** — a buyer's minimum conditions for supplier factories. **Corrective Action Plan (CAP)** — the time-bound list of fixes agreed after inspection or audit. **ETP** — effluent treatment plant. **PPE** — personal protective equipment.

Key points

• HRM plans, recruits, trains, appraises, rewards and retains people as a strategic resource — in a labour-intensive industry it is a production function.
• Job analysis (description + specification) is the foundation; the trade test is the decisive selection tool for floor grades.
• Fair appraisal, correct pay and fast grievance handling are what actually retain skilled workers.
• Compliance has three families — social, technical/safety and environmental — and is enforced commercially through buyer codes, independent inspection and audits.
• The post-2013 Accord / Alliance era made building safety independently inspected and CAP-driven in Bangladesh; that work continues through the RMG Sustainability Council.
• Audits cross-check documents, the physical floor and worker interviews; falsified records are a critical offence.

Practice

1. Draft a manpower plan outline for a knit factory adding one dyeing line and 10 sewing lines next season: list the grades needed and the lead time to have each ready.
2. Design the selection process for (a) sewing operators and (b) a merchandiser. For each, state the decisive test and why.
3. A factory's trained operators keep leaving within three months. Give four HR causes to investigate before blaming the wage rate, and the evidence you would check for each.

4. Classify twelve findings (locked exit; unpaid overtime; ETP bypassed at night; no machine guard on a cutting machine; under-age helper; clean, well-kept toilets) — take any six — into social, technical or environmental compliance, and mark which are critical.
5. Explain why an auditor interviews workers privately instead of relying only on documents, and what cross-checking makes record falsification detectable.
6. Write the skeleton of a Corrective Action Plan entry for "fire exit blocked by fabric storage": finding, root cause, correction, preventive action, responsible person, deadline, verification.

Answer key

1. Should include: dyeing — dyeing master / shift in-charges, lab staff, operators and helpers, ETP operator (longest lead: recruit and train before commissioning); sewing — line chiefs, supervisors, operators by operation, helpers, mechanics, quality inspectors, finishing and packing staff; plus supporting HR, compliance and store staff. Lead times graded: senior technical staff months ahead, operators trained on a training line 4–6 weeks ahead, helpers shortest. Credit the sequencing logic, not exact numbers.
2. (a) Operators: decisive test is the practical trade test on the actual operation, because skill is directly observable and predicts output and quality. (b) Merchandiser: decisive elements are a costing / capacity exercise plus a communication test (drafting a buyer reply), because the job is calculation, coordination and written English — supported by interview; a trade test in sewing is irrelevant.
3. Any four with evidence: poor induction (check first-week leaving pattern and induction records); supervisor behaviour (exit interviews, grievances by line); faulty appraisal / no recognition (compare leaving rates between lines with different supervisors); no skill growth or career path (training records, promotion history); unfair overtime allocation (time and pay records by worker); welfare failures (facility inspection, worker interviews). Wage is checked too — but last, because factories often raise pay while the real fault is supervision.
4. Locked exit — technical, critical. Unpaid overtime — social, major-to-critical. ETP bypassed — environmental, critical. Missing machine guard — technical, major (critical if injury risk immediate). Under-age helper — social, critical. Clean toilets — social (welfare), compliant finding, not a violation.
5. Documents record what management claims; interviews reveal what workers experience (real hours, real pay, real treatment). Cross-checking time records against pay sheets, production records and interview statements exposes inconsistency: sewn output for hours that the time record says never happened cannot be explained away, so dual books collapse under triangulation.
6. Skeleton: Finding — Exit B blocked by stored fabric rolls, audit date. Root cause — no marked storage zone; night-shift dumping. Correction — clear exit immediately, photograph, re-inspect same day. Preventive action — marked storage bays, exit check added to hourly floor-walk

checklist, supervisor accountability defined. Responsible — factory manager (owner), compliance officer (monitor). Deadline — correction immediate, system fix within 7 days. Verification — internal re-audit with dated photographs; closure confirmed at follow-up audit.
